

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

IMPACT PRODUCTS, LLC AND SAFETY ZONE, LLC,
Complainants

v.

ORIENT OVERSEAS CONTAINER LINE LIMITED AND OOCL
(EUROPE) LIMITED, *Respondents*.

DOCKET NO. 24-08

Served: October 11, 2024

ORDER OF: Mary Apostolakos HERVEY, *Administrative Law Judge*.

ORDER GRANTING MOTION FOR LEAVE TO FILE SECOND AMENDED COMPLAINT

By order dated October 1, 2024, this proceeding was reassigned to the undersigned administrative law judge. On September 27, 2024, Complainants Impact Products, LLC and Safety Zone, LLC filed a motion for leave to file a second amended complaint and lift the order staying the proceeding (“Motion”). The motion states that on May 21, 2024, Complainants filed a Chapter 11 bankruptcy petition, and that in the interim Complainants were working through the bankruptcy process to determine who would ultimately purchase Complainants’ assets. Motion at 2. The motion further states that on July 10, 2024, the bankruptcy court approved the sale and purchase by TZ SSE Buyer, LLC, including the claims at issue in this proceeding. Motion at 2. A copy of the proposed second amended complaint is attached to the motion as Exhibit 1. The Assignment of Claims Agreement dated April 4, 2024, is attached as Exhibit A to the proposed second amended complaint. It states that the interest in this proceeding was assigned to Complainants in order to resolve a dispute in the bankruptcy case as to who had a right to pursue the claim. A copy of the bankruptcy court order approving the sale of the assets of the bankruptcy estate free and clear of liens, claims, interests, and encumbrances is attached to the motion as Exhibit 2.

Complainants describe the changes in the Amended Complaint:

The amended complaint will simply substitute TZ SSE Buyer as the new complainant (the “Substitute Complainant”) and remove Impact Products, LLC and Safety Zone, LLC as the Complainants. The remaining allegations in the Verified Complainant will remain substantially similar. The amended complaint will also provide more detail about the sequence of events (who did what and when) and correct any errors in identifying Laufer Group International as a freight forwarder, while also explaining Laufer’s role in assisting Complainants with the delivery of the relevant containers. Importantly, the amended complaint ***does not*** introduce any new allegations or charges.

Motion at 3.

Respondents filed a timely response opposing the motion on October 10, 2024, after first obtaining an extension of time within which to respond. Respondents note that Complainants previously filed an amended complaint. Respondents oppose the request to file a second amended complaint for several reasons. First, Respondents assert that Complainants acted with undue delay because they waited more than two months to act after the asset transfer in the bankruptcy case became effective July 10, 2024, and notes that Complainants do not explain their failure to act earlier. Second, Respondents assert that amendment will require a substantial extension of deadlines to accommodate Respondents' need to review and respond to the second amended complaint, and that the parties will need to negotiate and propose a new discovery schedule. Respondents allege that this will delay the proceeding by a minimum of two months, and make it unlikely that an initial decision can be rendered by the deadline of February 14, 2025. Respondents also argue that they will be prejudiced by the impact of the bankruptcy itself, arguing that employees needed for deposition are likely to leave, be unavailable for deposition, and that subpoenas may be necessary to compel their attendance. Continuing with this argument, Respondents assert that it will be subjected to significant expense if former employees do not appear after service of a subpoena and enforcement in federal court is required. Finally, Respondents argue that protective measures should be imposed if leave to amend is granted. In this regard, Respondents argue that: 1) the second amended complaint should not include any changes other than substitution of the parties; and 2) Complainants should be required to submit, and Respondents comment on, a plan to preserve both documentary and testimonial evidence.

Commission Rule 66(a) provides in pertinent part that amendments "will be permitted or rejected, either in the discretion of the Commission or presiding officer. No amendment will be allowed that would broaden the issue, without opportunity to reply to such amended pleading and to prepare for the broadened issues." 46 C.F.R. § 502.66(a).

The Commission's Rules do not provide criteria for evaluating whether to grant or deny a motion to amend a complaint. However, Commission Rule 12 provides that "for situations which are not covered by a specific Commission rule, the Federal Rules of Civil Procedure will be followed to the extent that they are consistent with sound administrative practice." 46 C.F.R. § 502.12. Under Federal Rule 15(a)(1)(B), "a party may amend its pleading once as a matter of course" within 21 days after service of a responsive pleading. F.R.C.P. 15(a)(1)(B). After that period, an amended pleading is permitted with the opposing party's written consent or leave of court, which should be freely given when justice so requires. F.R.C.P. 15(a)(2). "Denial of leave to amend therefore constitutes an abuse of discretion unless the court gives sufficient reason, such as futility of amendment, undue delay, bad faith, dilatory motive, undue prejudice, or repeated failure to cure deficiencies by previous amendments." *Bancoult v. McNamara*, 214 F.R.D. 5, 8 (D.D.C. 2003) (citations omitted); *see also Foman v. Davis*, 371 U.S. 178, 182 (1962).

Here, the changes in the proposed second amended complaint are reasonable in light of the sale of Complainants' assets, including this administrative claim, to a purchaser in the normal course of Complainants' ongoing Chapter 11 bankruptcy proceeding. Given that event, logic and fundamental fairness dictate that the purchaser now be substituted as the proper party to pursue the claim. The proposed second amended complaint substitutes the purchaser in place of the original Complainants and more accurately describes the relationships and facts previously alleged. Notably, it includes no new charges. A comparison of the amended complaint with the proposed second amended complaint does not reveal the inclusion of any substantive changes that would require unduly burdensome action by Respondents. As for the delay in filing the motion to amend, an order

was entered on September 6, 2024, staying the proceedings until September 30, 2024, upon joint motion of the parties dated August 28, 2024, seeking entry of a stay on the ground that a third party had party had purchased Complainants' assets. This suggests that both parties understood that additional time was needed to sort out what was sold in the Chapter 11 bankruptcy case and the significance of the sale with respect to the current action. Based on this record, I find that the delay was reasonable and amendment appropriate under the circumstances. Accordingly, an amended scheduling order must be entered to reset the applicable deadlines after the parties have conferred and proposed a new schedule.

Respondents' request that amendment not be allowed until Complainants submit and Respondents comment on a plan to preserve both documentary and testimonial evidence is denied on the ground that it is not necessary. In this regard, the parties are reminded of their obligation to ensure preservation of all relevant evidence, including electronically stored information. *Zhi Chen v. District of Columbia*, 839 F. Supp. 2d 7, 12 (D.D.C. 2011); *The Pension Comm. of the Univ. of Montreal Pension Plan v. Banc of America Securities, LLC*, 685 F. Supp. 2d 456 (S.D.N. Y. 2010); *Zubulake v. UBS Warburg LLC*, 220 F.R.D. 212 (S.D.N.Y. 2003). Moreover, the Presiding Officer is empowered to sanction litigants for failing to preserve evidence that "that should have been preserved in the anticipation or conduct of litigation." Fed. R. Civ. P. 37.

It is hereby **ORDERED** that motion for leave to file a second amended complaint be **GRANTED**. The Office of the Secretary is asked to serve the second amended complaint attached as Exhibit 1 to Complainants' second motion to amend filed September 27, 2024, on Respondents. The Office of the Secretary is also asked to amend the caption of the case accordingly. Respondents must respond to the second amended complaints within 14 days of service. In addition, the parties are **ORDERED** to submit a joint status report by October 25, 2024, with a proposed amended scheduling order. The motion for leave to lift the stay is **DENIED** as moot on the ground that the stay expired on September 30, 2024, pursuant to the order entering the stay.

Mary A. Hervey -S

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Mary Apostolakos Hervey
Administrative Law Judge